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Bimbo: Higher Efficiency and Canada Bread will favor the 3Q14 Report

We reiterate our Buy Recommendation, TP $44 MXN

October 16th, 2014

Grupo Bimbo SA CV
BIMBOA MM

Price (MXN, as of 10/15/2014)	P$39.12
Buy	
Target Price	P$44.00
Stock Price Return	12.5%
Dividend Yield	0.4%
Expected Total Return	12.9%
Market Cap (MXN mn)	183,989
Shares Outstanding (mn)	4,703.2
Free Float	24%
Beta (3 yr, vs MEXBOL)	1.05
Daily Value Traded (avg, USD mn)	6.9

Source: Interacciones and the company

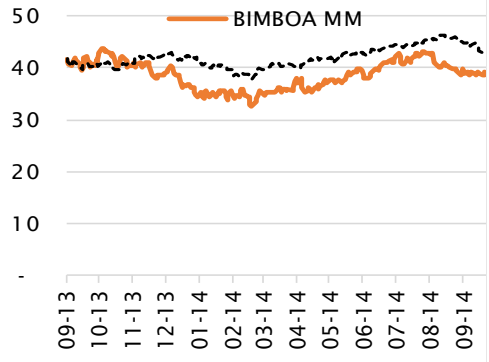
Canada Bread's Consolidation and a good performance in the US will benefit revenues – In contrast to Mexico where consumption is recovering slowly, we expect a good performance of both the US and Canadian markets, which will compensate for Mexico's weakness. Stronger job creation and consumer confidence will favor the recovery in national operations during the coming quarters.

Latam's operations with mixed results - Without per-country sales information, we can comment that operations in Brazil, Colombia and Chile will be acceptable, while in Venezuela and Argentina, economic problems and high inflation would affect operations seriously.

Margins should improve thanks to efficiencies and expenses' control – Bimbo maintains its focus on productivity and efficiency, which would lead to higher operating and EBITDA margins. It is important to highlight that raw materials' prices, such as wheat, corn and oils, have dropped in USD terms, a benefit that has been reduced by devaluations in Latam's currencies.

Finally, Net Income would display improvement - The higher net debt that arose from Canada Bread's acquisition provokes a higher interest charge, affecting net income, which we expect to be of 8%, lower than consensus' estimates.

BIMBOA MM vs MEXBOL



Source: BMV

Multiples	2011	2012	2013	2014E	2015E
P/E	38.4x	90.7x	43.1x	30.4x	26.4x
P/BV	3.9x	4.1x	4.0x	3.2x	3.1x
EV/EBITDA	18.7x	19.4x	15.2x	13.9x	12.5x

Estimates	2011	2012	2013	2014E	2015E
Revenues	133,496	173,139	176,763	189,236	199,380
EBITDA	13,569	12,773	16,170	19,275	21,677
EBITDA Margin (%)	10.2%	7.4%	9.1%	10.2%	10.9%
Net Income	4,785	2,029	4,270	6,059	6,978
Net Margin (%)	3.6%	1.2%	2.4%	3.2%	3.5%
EPS	1.02	0.43	0.91	1.29	1.48
BVPS	9.92	9.51	9.70	12.04	12.79

Source: Interacciones Research and the company

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Interacciones
Grupo Financiero

Quarterly Results' Estimates

BIMBO	3Q14e	3Q13	Chg %
Revenues	50,139	45,152	11.0%
Operating Profit	4,045	3,414	18.5%
Operating Margin	8.1%	7.6%	0.5%
EBITDA	5,550	4,818	15.2%
EBITDA margin	11.1%	10.7%	0.4%
Net Profit	1,649	1,527	8.0%
Cash Flow	3,582	3,001	19.3%
EPS	0.351	0.325	

Figures in MXP million except EPS

Source: Mexican Stock Exchange, ICB estimates

Company Description

Grupo Bimbo, S.A.B. de C.V. is the market leader on bread-making. Bimbo produces over 10,000 products and offers a portfolio of more than 100 high-prestigious product families, such include: Bimbo, Marinela, Barcel, Ricolino, Oroweat, Arnold, Mrs. Baird's, Thomas', Brownberry, Entenmann's, Pullman, Plus Vita, Nutrella, Sara Lee, Fargo, Lactal, Silueta, Ortiz, Martínez, and Eagle. As well as Canada Bread, which consolidates results, since June, 2014.

Bimbo has 175 plants distributed throughout the world, among them, 41 are located in Mexico, 69 in the United States and Canada Bread has 25 plants.

Bimbo reaches consumers through more than 2.2 million sale points and products with presence in 20 countries worldwide: Argentina, Brazil, Canada, Chile, China, Colombia, Costa Rica, El Salvador, Guatemala, Honduras, Mexico, Nicaragua, Panamá, Paraguay, Peru, Portugal, Spain, United States, Uruguay and Venezuela.

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